SAP Revenue Recognition (RAR): Processing Flow, Exemptions, Reversals & System Integration

1. Standard RAR Processing Flow

```
Sales Order 45000123 created for customer ACME Corp
↓
Revenue recognition relevance determined based on settings
↓
System creates RAR documents (RARDARR & RARDALL)
↓
Revenue recognized according to defined rules/POB method
↓
Accounting entries generated to Revenue and Deferred Revenue accounts
```

2. RAR Exemption Scenarios

Example 1: One-time Service

```
Sales Order 4500052789 for consulting service
↓
Item category flagged as "RAR Exempt" in material master
↓
System bypasses revenue recognition process
↓
Revenue posted immediately upon billing
↓
Reference field: "Single-day service - RAR exempt"
```

Example 2: Below Threshold Amount

```
Sales Order for $2,500 (below $5,000 threshold)
↓
RAR exemption rule triggers based on amount
↓
Transaction code RAR_EXEMPT records exemption
↓
Reference: "Below threshold per policy FIN-2024-007"
```

3. RAR Reversal Process

Example: Error Correction

```
Revenue recognition document 9000007654 incorrectly processed
↓
Financial analyst initiates RAR reversal transaction /FARR/RAR_REV
↓
System prompts for reversal reason code: "CORR"
↓
Reversal document RAR-REV-2025-0012 created
↓
Original revenue entries reversed in GL
↓
System logs: "Reversed by USER_XYZ on 2025-05-13 due to incorrect recognition rule"
```

4. Monitoring in farr_rar_mon

```
Revenue accountant runs farr_rar_mon report
↓
Filter criteria: Period 05/2025
↓
Report displays:
- 187 Completed revenue recognitions
- 42 Scheduled future recognitions
- 15 Exempted cases (with exemption codes)
- 5 Reversed documents (with reversal references)
↓
Detailed view shows reversal document RAR-REV-2025-0012 linked to original document
```

5. Custom Development Approach

If standard functionality doesn't support required RAR reversal/exemption features:

```
Custom Z-table Z_RAR_EXEMPTION_TYPES created
↓
Custom program Z_RAR_REVERSAL developed
↓
User transaction Z_RAR_REV added to menu path
↓
Authorization object Z_RAR_REVAUTH created for security
↓
Enhancement to standard POB selection logic
↓
farr_rar_mon enhanced to display custom statuses
```

6. Reference Field Documentation

```
Standard RAR document field "Reference Information" used for:
- Manual entry: "Exempted per Revenue Controller approval on 2025-05-10"
- System-generated: "POB method changed from 'service' to 'event'"
- Reversal reference: "Reversed by RAR-REV-2025-0012"
```

7. Multi-Element Arrangements Example

```
Sales Order 8000123456 with hardware, software, and services
↓
RAR splits revenue across elements based on standalone selling prices
↓
Hardware: $10,000 recognized upon delivery
↓
Software: $5,000 deferred over 12 months
↓
Services: $3,000 recognized as performed
↓
Monitoring in farr_rar_mon shows separate line items per element
```